

Form 1040

U.S. Individual Income Tax Return | Department of the Treasury — IRS

Walter Smith | SSN: 131-03-5003 | Tax Year: 2020

Filing Status: **Single**

Address: 6235 ALEXIS OVAL, LOS ANGELES, CA 90012

Dependents:

Richard Smith (SSN: 519-41-4559) — Daughter

Line	Description	Amount
1	Wages, salaries, tips (W-2)	\$84,400
2b	Taxable interest	\$271
3b	Ordinary dividends	\$1,188
8	Business income (Schedule C)	\$24,557
9	Total income	\$110,417
10	Adjustments (½ SE tax deduction)	\$1,734
11	Adjusted Gross Income (AGI)	\$108,682
12	Standard deduction	\$12,400
13	Qualified business income deduction	\$4,911
14	Total deductions	\$17,311
15	Taxable income	\$91,371

Line	Description	Amount
16	Tax (from tax table / brackets)	\$16,008
19	Child tax credit	\$2,000
21	Total credits	\$2,000
22	Tax after credits	\$14,008
23	Self-employment tax (Schedule SE)	\$3,469
24	Total tax	\$17,478
25	Federal income tax withheld (W-2)	\$13,504
33	Total payments	\$13,504
37	Amount you owe	\$3,974

Schedule B — Interest and Ordinary Dividends

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Part I — Interest

#	Payer Name	Amount
1	Heritage Savings Bank	\$271
	Total Interest	\$271

Part II — Ordinary Dividends

#	Payer Name	Amount
1	Vanguard	\$1,188
	Total Dividends	\$1,188

Schedule C — Profit or Loss from Business

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Business Name	Bookkeeping Services
Principal Business	Bookkeeping (Code: 541219)
Accounting Method	Cash

Line	Description	Amount
1	Gross receipts	\$34,400
7	Gross income	\$34,400
8	Advertising	\$1,008
9	Car and truck expenses	\$1,246
15	Insurance	\$473
18	Office expense	\$424
22	Supplies	\$631
25	Utilities	\$581
27a	Other expenses	\$5,480
28	Total expenses	\$9,843
31	Net profit (or loss)	\$24,557

Schedule SE — Self-Employment Tax

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Line	Description	Amount
2	Net profit from Schedule C	\$24,557
3	Combined SE income	\$24,557
4a	92.35% of line 3 (SE tax base)	\$22,678
12	Self-employment tax	\$3,469
13	Deductible part of SE tax (50%)	\$1,734

Form 540 — California Resident Income Tax Return

CA Department of Revenue

Walter Smith | SSN: 131-03-5003 | Tax Year: 2020

Line	Description	Amount
1	CA Adjusted Gross Income	\$108,682
	Standard deduction	\$5,540
	Exemptions	\$577
	Taxable income	\$102,565
	CA income tax	\$6,191
	SDI (State Disability Insurance)	\$928
	Total state tax	\$6,191
	State tax withheld (payments)	\$3,376
	Amount owed	\$2,815